1848, it was only to sell physical oats and physical corn in the primitive cash market. It wasn't until 1865 that management at the Board of Trade thought of paying for corn now and having it delivered later. This was the "to arrive" contract, the forefather of the modern American future.

It wasn't long after that before somebody thought of selling corn he didn't own. This was the founding "short position." From then on, hundreds of commodities have had their futures traded in the pits of the Board of Trade and/or the Mercantile Exchange.

Until 1919, the Mercantile Exchange was pretty much limited to butter and eggs. Then it added cheese, potato, and onion futures. In 1945, it added turkeys. The postwar turkey contract was the first future in anything approaching a fully developed organism. Its success led to the adoption of a frozen-egg futures contract four years later. Frozen eggs had the advantage of not rotting, which appealed to anyone contemplating an actual delivery.

In 1954, the Mercantile Exchange added iron and scrap metal, among other inedible futures. On the edible side, it started an apple-futures pit. In 1961, when interest in any and all of the above had flagged and traders reverted to playing pinochle in the afternoons, the Merc launched the now-famous pork-belly contract. What was a pork belly, anyway? I'd always imagined it was a pile of entrails, and wondered why anybody would pay money for one, much less risk having it delivered. As it turns out, "pork belly" is another way of saying "bacon"—unsliced, uncured, and packed in frozen slabs.

After the Merc succeeded with its pork bellies, in 1966 it began trading the whole animal via the live-hog-futures contract. Feeder cattle followed in 1971, and there was a full gamut of futures up and down the food chain. Then traders got bored. Everybody got bored. The Exchange might have disappeared from Chicago if it hadn't been for economist Milton Friedman, who helped it make the transition from live hogs to deutsche marks. By 1972, there was futures trading in seven foreign currencies. Over at the Chicago Board of Trade, the general apathy in corn and soybeans inspired another economist, Richard Sandor, to invent the futures contract on Ginnie Mae bonds. This was the first known financial future in the world.